

Part A: Case Study – UPI/Online Payment Fraud

UPI (Unified Payments Interface) fraud is a variety of financial cybercrime, where the attacker dupes a victim into authorizing a payment or into giving away details such as a username, account information, and security details, to draw money directly from the victim's bank accounts.

So here's the scenario: A college student is trying to make a quick buck by selling his old textbooks online. Within minutes of posting the book online, the student receives a message from a "buyer." Instead of receiving cash for the book, the student receives a QR code from the "buyer" who explains that it is a payment voucher for the funds. Little does the student know that he is a victim of an online scam.

Step-by-Step Attack:

Scam tactics: The fraudster shows initial interest in a product or service. They may offer a refund for a product already purchased or claim to have won a prize.

The Hook: The attacker sends a QR code or a "Collect Request" through a UPI app (such as GPay, PhonePe, Paytm, Amazon, Walmart etc.).

Deception: Instead of explaining why the recipient must click "Approve" to receive the free money, the scammers say to do it.

Deception: The scam victim is led to believe that they are typing into the UPI enabled banking app for purposes of sending money. Following that belief, they type in their UPI PIN and the immediate transfer of money from their account to the account of the attacker is authorized.

Target & Consequences:

Phishers typically target college students and young professionals due to their large number of online financial transactions, resulting in an initial financial loss (which can be difficult or impossible to recover) and significant emotional stress for the victim.